

better execution quality for these orders by broker-dealers who newly have access to information about odd-lots.¹⁶⁹³ To the extent that the increase in competition for odd-lot execution quality under amended Rule 605 has already incentivized broker-dealers to increase their usage of existing sources of odd-lot data (such as proprietary data feeds) in routing decisions, this would reduce the number of broker-dealers without pre-existing access to odd-lot information and thus may reduce the benefits from disseminating odd-lot information in the SIP as described in the Proposing Release. However, if broker-dealers that rely on odd-lot information from proprietary data feeds are able to reduce their costs by switching to using odd-lot information from the SIP,¹⁶⁹⁴ this would result in benefits even to those broker-dealers with pre-existing access to odd-lot information.¹⁶⁹⁵

ii. Impact of the Final Rules on Amended Rule 605

In addition to the impact amended Rule 605 may have on the effects of the final rules compared to those described in the Proposing Release, the Commission also considered the reverse, i.e., whether the final rules may impact the effects of amended Rule 605 going forward.

¹⁶⁹³ See supra note 1151 and corresponding text. See MDI Adopting Release, supra note 10, at 18753, stating that “if a broker-dealer previously did not have access to odd-lot information, then a broker-dealer receiving the additional information may help facilitate best execution of its clients' orders.”

¹⁶⁹⁴ See MDI Adopting Release, supra note 10, at 18753 and 18793-95 (discussing market participants substituting MDI odd-lot information for exchange proprietary data feeds).

¹⁶⁹⁵ As another example, the Rule 605 Amendments stated that one indirect effect of the amendments to Rule 605 might be an increase in incentives for reporting entities to compete in areas other than improved execution quality, including lowering their access fees. See Rule 605 Amendments, supra note 10, at 26575. This could also reduce incentives to route based on fees and rebates, which would reduce the benefits of increased transparency under the final rules. However, this would only be the case in limited circumstances, i.e., when exchanges are not able to differentiate themselves based on execution quality. Furthermore, the Rule 605 Amendments also acknowledged that Rule 605 reporting entities may pass some of the costs of amended Rule 605 on to their customers. See Rule 605 Amendments, supra note 10, at 26586. If exchanges pass on their compliance costs by raising their access fees, then the benefits of the final rules may be heightened by the adopted amendments to Rule 605, rather than lessened.

Specifically, the final rules will enhance certain benefits and reduce certain costs of amended Rule 605. As discussed above, the amendments accelerating MDI Rules related to including information about odd-lots into SIP data will accelerate the realization of the benefits of this information.¹⁶⁹⁶ In turn, the MDI Rules increase the usefulness of price improvement statistics included in amended Rule 605 using the best available displayed price as the benchmark by providing market participants with price improvement information relative to a benchmark price that more accurately reflects liquidity available in the market.¹⁶⁹⁷ Increasing the usefulness of price improvement statistics promotes incentives for reporting entities to seek out or offer price improvement relative to the best displayed price, taking into account all available displayed liquidity (including odd-lots).

In addition, the value of reporting price improvement relative to the best displayed price relative to the NBBO, now required by amended Rule 605,¹⁶⁹⁸ will increase for those stocks for which the reductions in the tick size in the final rules result in an increase in the number of price levels within the spread.¹⁶⁹⁹ If there are more price increments within the spread, it is more likely that the best displayed price will be different from the NBBO. Similarly, the availability of a greater number of price increments within the spread increases the value of the separate reporting of execution quality information for midpoint-or-better NMLOs¹⁷⁰⁰ because the prevalence of

¹⁶⁹⁶ See supra section VII.D.4.c.

¹⁶⁹⁷ See 17 CFR 242.600(b)(14) (defining the “best available displayed price”) and 17 CFR 242.605(a)(1)(ii)(M) – (Q); see also Rule 605 Amendments, supra note 10, section III.B.4(g) for further discussion of these amendments.

¹⁶⁹⁸ See supra note 1176 and corresponding text.

¹⁶⁹⁹ See supra section VII.D.1.b for further discussion.

¹⁷⁰⁰ See supra note 1179 and corresponding text.

these orders is likely to increase.¹⁷⁰¹ Furthermore, if a reduction in the tick size results in a reduction of depth at the NBBO, this increases the usefulness of the recently adopted measures of size improvement included in amended Rule 605 reports.¹⁷⁰² Finally, the final rule requiring NMS data to also include information on the best priced odd-lot orders across all markets¹⁷⁰³ will reduce ongoing compliance costs related to compiling information about price improvement relative to the best displayed price under amended Rule 605.¹⁷⁰⁴ This is because reporting entities will be able to access standardized information about the best odd-lot order, rather than needing to use odd-lot trade and quote data to calculate the best odd-lot order themselves.¹⁷⁰⁵

One commenter stated that because of the proposed amendments to the definition of “categorized by order size” in Rule 605,¹⁷⁰⁶ subsequent changes to the definition of tick sizes and

¹⁷⁰¹ An analysis of CAT data in the Rule 605 Amendments found that, in the quartile of stocks with the lowest quoted spreads (an average quoted spread of around \$0.026), midpoint-or-better orders still compromise a non-negligible percent of order flow, representing 5.15% of submitted orders (4.32% of submitted shares). This is compared to the quartile with the highest quoted spreads (an average quoted spread of \$20.26), where midpoint-or-better orders are 9.66% of submitted orders (8.62% of submitted shares). See Rule 605 Amendments, supra note 10, at 26428 n.1448.

¹⁷⁰² See supra note 1182 and corresponding text.

¹⁷⁰³ See supra section VII.D.4.d.

¹⁷⁰⁴ See supra note 1178.

¹⁷⁰⁵ The amendments to include in Rule 605 information about price improvement relative to the best displayed price, size improvement, and beyond-the-midpoint NMLOs (which are a subset of midpoint-or-better NMLOs) were also considered in the Rule 605 Proposal; see Rule 605 Proposal, supra note 117, at 3817, 3819, and 3810. The Commission acknowledges that, to the extent that it occurs, an increase in the cost of processing and storing consolidated market data may be higher for larger broker-dealers, who will be required to prepare Rule 605 reports for the first time under the adopted amendments to Rule 605. As a result, the additional cost of preparing Rule 605 reports may be higher for these broker-dealers as a result of the final rules. See supra section VII.D.1.c for a discussion of how the final rules may increase the cost of processing and storing consolidated market data.

¹⁷⁰⁶ The final amendments to Rule 605 likewise included an amended definition of “categorized by order size” that requires orders to be categorized according to whether they are round lots. See Rule 605 Proposal, supra note 117, at 3807; proposed Rule 600(b)(19). As amended, rather than requiring the reporting of order sizes in terms of whether an order was less than one share, an odd-lot, or in one of five categories based on numbers of round lots, final Rule 605 requires the reporting of order sizes in terms of notional values, with each order size category further separated into whether an order is a round lot, odd-lot, or fractional order, for a total of 24 reporting categories. See Rule 605 Amendments, supra note 10, at section

round lots would “create customer confusion” regarding their Rule 605 reporting requirements.¹⁷⁰⁷ The Commission does not believe that market centers and brokers-dealers will be confused about their reporting obligations under amended Rule 605 as a result of the new round lot definition and the new minimum tick size under the final rules. The rule texts for both amended rules are clearly stated. Further, the use of notional value in the order size categories under the adopted amendments to Rule 605 will help end users of these reports understand the effect of a change in round lot size for a security because a notional value range will remain constant even if the size of a round lot changes.¹⁷⁰⁸

iii. Delaying the Final Rules until Amended Rule 605 Data are Available

Third, in response to comments, the Commission considers whether adoption of the final rules should be delayed until amended Rule 605 data are available.¹⁷⁰⁹ Several commenters suggested that the Commission wait to adopt the final rules until after the amended Rule 605 data are available so that amended Rule 605 data could be used to assess whether the final rules are necessary.¹⁷¹⁰

III.B.1; adopted Rule 600(b)(18). Prior Rule 600(b)(13) required reporting of order sizes in one of four categories based on numbers of round lots, with no reporting of fractional orders or odd-lots.

¹⁷⁰⁷ See Tastytrade Letter at 5.

¹⁷⁰⁸ See Rule 605 Amendments, *supra* note 10, at 26428 n.375. It may be the case that, within a given notional order size bucket in Rule 605 reports, the distribution of orders across round-lot and odd-lot categories may change for some stocks following the implementation of the new round lot definition.

¹⁷⁰⁹ See *supra* section VII.C.5 for discussion of the implementation timeline for the adopted amendments to Rule 605. See *supra* section VI for further discussion of the compliance dates for the final rules.

¹⁷¹⁰ See, e.g., Virtu Letter II at 24 (recommending that “the Commission amend Rule 605 to provide more comprehensive execution quality statistics on retail activity based on input from investors and market participants, and then pause to study and assess market quality based on the newly collected data before determining whether to move forward with the Proposed Rule”); Citadel Letter II at 1-2 (stating that “the data provided pursuant to an updated Rule 605 should be the primary input in determining whether the other proposals are necessary”) See *also* Letter from Ellen Greene, Managing Director, Equities & Options

Although the information disclosed under Rule 605 is a significant source of information about execution quality, the Commission did not rely on, and does not believe that it is necessary to rely on, Rule 605 data (either adopting or pre-existing) in its analyses in the Proposing Release or in the adoption of the final rules.¹⁷¹¹ Instead, the Commission utilized other data sources for conducting the relevant analyses, including with respect to execution quality, which it believes has sufficiently informed the Commission and the public on the issues being addressed in the final rule.¹⁷¹² Other commenters suggested waiting until after the amended Rule 605 data is available so that amended Rule 605 data could be used to evaluate the impact of the implementation of the final rules.¹⁷¹³ The Commission acknowledges that Rule 605 data is an

Market Structure, and Joseph Corcoran, Managing Director, Associate General Counsel, SIFMA, dated Aug. 14, 2024 at 3; SIFMA Letter II at 3; Virtu Letter II at 1-2; and comments discussed in supra note 122 and accompanying text.

¹⁷¹¹ This was supported by a commenter, who stated that “better data from Rule 605 reports, among other sources, could be useful in making additional decisions about tick size in the future. But it is certainly not needed to decide whether to make changes to the tick size now.” See IEX Letter I at 4.

¹⁷¹² Data used in the Proposing Release, supra note 11, included CAT data, see, e.g., Proposing Release at 80340 n.673; MIDAS data, see, e.g., id. at 80297 Tables 1, 2; TAQ data, see, e.g., id. at 80313 Table 6; WRDS intraday indicators, see, e.g., id. at 80316 Table 8; Rule 606(a)(1) reports, see, e.g., id. at 80306 n.467; and Tick Size Pilot data and Rule 606(a)(1) reports, see, e.g., id. at 80320 Table 9. While the Proposing Release included an estimate of the number of trading venues who report Rule 605 statistics, see id. at 80333, Rule 605 data itself was not used. One commenter stated that the Proposing Release, “relies, in part, on data from Rule 605 reports—which use metrics that the Commission has acknowledged are deficient and in need of modification.” The commenter proceeded to cite the Proposing Release at 80321 n.557, which discusses the horizon over which realized spreads are calculated in both the TSP analysis and in Rule 605 reports. See Virtu Letter II at 5 and n.8. The realized spread is a common and useful metric that will continue to be reported under the amendments to Rule 605. While both the TSP analysis and Rule 605 reports calculate realized spreads using a five-minute horizon, the commenter is incorrect in stating that the Proposing Release relied on data from Rule 605 reports. In the TSP analysis, the Commission calculates realized spreads using trade and quote data from TAQ; when completing Rule 605 reports, trading centers calculate realized spreads using similar trade and quote data. Rule 605 reports are therefore not necessary to obtain the realized spreads used in the TSP analysis.

¹⁷¹³ See, e.g., SIFMA Letter II at 3 (stating that a quantitative analysis “can only be done effectively after the implementation and operation of the proposed amendments to Rule 605 to allow the Commission and the public to measure the impact of modified tick sizes and/or access fee caps”); see also Citadel Letter I at 29 (stating that “if both proposals were to be finalized, it appears that market participants and regulators would be unable to accurately assess the true impact of the market structure changes contained in this Proposal, precluding an ‘apples-to-apples’ before-and-after comparison”).

important source of public information about order execution quality. However, as stated by another commenter, there are other data products that provide relevant information on execution quality that can be used to evaluate the impact of the final rules.¹⁷¹⁴ Waiting until amended Rule 605 data are available to adopt the final rules would delay the significant benefits of the final rules to be realized, and the Rule 605 Amendments cannot and do not solve the main concerns that the final rules address by reducing the tick size, lowering the access fee cap, and accelerating the round lot definition are designed to solve.

b. Implementation Costs from Overlapping Compliance Periods

Several commenters stated that the Commission should consider the cumulative costs of implementing the proposed amendments and other recent Commission rules and proposed rules.¹⁷¹⁵ Specifically, one commenter requested that the Commission “publish a thorough analysis of the cumulative effects of the Interconnected Rules that accounts for interconnections and dependencies among them and any other rules the Commission has proposed or intends to propose in the near term,” and “tak[e] into account not just the expected effects on investors and our capital markets but also practical realities such as implementation timelines as well as operational and compliance requirements.”¹⁷¹⁶ We consider here recently adopted rules, including the Settlement Cycle Adopting Release, February 2024 Form PF Adopting Release, May 2023 SEC Form PF Adopting Release, Dealer Adopting Release, Rule 605 Amendments, Beneficial Ownership Adopting Release, Rule 10c-1a Adopting Release, Short Position

¹⁷¹⁴ See IEX Letter III at 3 (“There are myriad sources of information that both regulators and market participants draw on to consider how orders are handled and how markets compete with and compare to each other.”). See also supra section II for additional discussion.

¹⁷¹⁵ See supra note 1035.

¹⁷¹⁶ ICI Letter II.

Reporting Adopting Release, Treasury Clearing Adopting Release, and Customer Notification Adopting Release.¹⁷¹⁷

Consistent with its long-standing practice, the Commission’s economic analysis in each adopting release considers the incremental benefits and costs for the specific rule—that is the benefits and costs stemming from that rule compared to the baseline. The Commission acknowledges the possibility that complying with more than one rule may entail costs that could exceed the costs if the rules were to be complied with separately. Two of the rules identified by commenters have compliance dates that occur before the effective date of the final amendments.¹⁷¹⁸ The compliance periods for other rules overlap in part, but the compliance dates adopted by the Commission in recent rules are generally spread out over an approximately two-year period extending to June 2026,¹⁷¹⁹ which could limit the number of implementation activities occurring simultaneously. Where overlap in compliance periods exists, the Commission acknowledges that there may be additional costs on those entities subject to one or more other rules as well as implications of those costs, such as impacts on entities’ ability to invest in other aspects of their businesses.¹⁷²⁰

Affected entities subject to the amendments may be subject to one or more of the other recently adopted rules depending on whether those entities’ activities fall within the scope of the other rules. Specifically, the Rule 605 Amendments, which require disclosures for order

¹⁷¹⁷ See supra section VII.C.

¹⁷¹⁸ The compliance date for the May 2023 SEC Form PF Adopting Release occurred on December 11, 2023 and June 11, 2024, and the compliance date for the Settlement Cycle Adopting Release occurred on May 28, 2024.

¹⁷¹⁹ See supra section VII.C.

¹⁷²⁰ See, e.g., MFA Comment Letter II (asserting that the adoption of multiple proposals would impose “unprecedented operational and other practical challenges”).

executions in NMS stocks, affects market centers and certain larger broker-dealers that were not required to publish Rule 605 reports prior to the Rule 605 amendments. The Beneficial Ownership, Rule 10c-1a, Short Position Reporting, Dealer, and Customer Notification Adopting Releases also apply to certain brokers and dealers¹⁷²¹—although due to differing requirements, these rules may not all apply to any given broker or dealer. The Treasury Clearing Adopting Release applies to certain participants of the covered clearing agencies which could include broker-dealers.¹⁷²² We acknowledge that entities subject to multiple rules may still experience increased costs associated with implementing multiple rules at once as well as implications of those costs, such as impacts on entities’ ability to invest in other aspects of their businesses.

In addition, while the Commission received comments on the interaction of the MDI Rules and these amendments,¹⁷²³ commenters did not specifically address costs associated with overlapping compliance periods. When the Commission adopted the MDI Rules, it outlined a phased transition plan for implementation.¹⁷²⁴ Based on the times provided in the transition plan for implementation of the MDI Rules, the Commission estimated that the full implementation of the MDI Rules will be at least two years after the Commission’s approval of the plan amendment(s) required by Rule 614(e).¹⁷²⁵ Therefore, the length of time affected market

¹⁷²¹ See Beneficial Ownership Adopting Release, supra note 1029 at 76897, 76945; Rule 10c-1a Adopting Release, supra, note 1030 at 75647, 75717-18; Short Position Reporting Adopting Release, supra note 1031 at 75150; Dealer Adopting Release, supra note 1028 at 14938, 14967-71; Customer Notification Adopting Release, supra note 1034 at 47689, 47725.

¹⁷²² See Treasury Clearing Adopting Release, supra note 1045, at 2717, 2791.

¹⁷²³ See, e.g., Citadel Letter I at 26; SIFMA Letter II at, e.g., 41-42; Robinhood Letter at 44.

¹⁷²⁴ See MDI Adopting Release, supra note 10, at 18699-18701.

¹⁷²⁵ See supra note 1139 and accompanying text.

participants will have to come into compliance with both the MDI Rules and these amendments, and the likelihood of limited overlap in compliance periods, will mitigate compliance costs.¹⁷²⁶

One commenter stated that the complete implementation of the MDI Rules will undermine the Commission’s economic analysis of amendments to Rules 610 and 612. The commenter stated: “Implementation of the MDI Rules would ... likely mute any potential benefits of or weaken the case for the additional costs associated with the Tick Size Proposal ... At minimum, the Commission is obligated to consider the fully implemented MDI Rules as part of the ‘baseline’ against which the asserted need for this new rule, and its impact, are assessed.”¹⁷²⁷

The MDI Rules form part of the baseline for the amendments to Rules 610 and 612. The MDI Rules and these amendments will increase transparency, achieve better order execution, lower costs, and lead to better investment decisions and increased market efficiency. However, the MDI Rules and these amendments—while sharing broad goals—achieve their benefits through distinct channels; therefore, implementation of the MDI Rules is unlikely to mute benefits arising from these amendments. The channel through which the MDI Rules achieves their benefits is data—the MDI Rules will increase the granularity of data that is included in NMS data and further introduce a decentralized competing consolidator model to lower the cost of purchasing this data. For market participants who already purchase proprietary data from exchanges, the MDI Rules may have a limited direct impact because these participants will not experience a change in their information set. Nonetheless, these participants will still see many benefits from the reduction in tick size and access fee cap. For example, they will be able to

¹⁷²⁶ See also section VII.D.4 (discussing the acceleration and implementation of the MDI Rules).

¹⁷²⁷ See Robinhood Letter at 44.

quote at more precise prices, which more accurately reflect the competitive cost of liquidity, and experience fewer instances of tick constraints. Also, any stocks that remain tick-constrained would have fewer distortions due to excess liquidity as a result of the reduction in the access fee cap. Therefore, the benefits of the MDI Rules do not lessen the benefits of the amendments to Rules 610 and 612 for these market participants.

For market participants who do not purchase proprietary data from exchanges, the MDI Rules, once fully implemented, as well as the market data amendments associated with this release, may complement the benefits of amendments to Rules 610 and 612. This is because the MDI Rules, including the amendments in this release, will result in more information being made available to non-consumers of proprietary data, while amendments to Rules 610 and 612 remove constraints on trading by alleviating tick constraints. The amendments in this release to Rules 610 and 612, the amendments to the MDI Rules, and the MDI Rules in total (once fully implemented), will create an environment where there is more, as well as better, information available to market participants that do not subscribe to proprietary data products. These market participants will also have an improved ability to trade on that information due to the lower expected cost of transacting for some stocks due to the lower tick size and access fee. The eventual inclusion of depth-of-book information in core data under the MDI Rules will also mitigate costs from the tick reduction causing liquidity to spread across multiple price points¹⁷²⁸—market participants will more readily be able to see the liquidity available at these price points.

¹⁷²⁸ See section VII.D.1 for a discussion of this effect.